



Report No. 73

LEGATION OF THE REPUBLIC OF KOREA
MANILA, PHILIPPINES

February 10, 1956

Excellency:

Crown Prince Norodom Sihanouk of Cambodia and his 14-man party arrived at Manila on January 31 on a goodwill tour upon the invitation of President Magsaysay and they were greeted by the biggest reception ever accorded here to a visiting head of a foreign government. After six days state visit here, he left for Cambodia on February 6. During his stay in Manila, the Cambodian prince premier said at a press conference at the National Press Club that Cambodia will change its strictly neutralist policy if the Communists threaten her security. On the strength of this statement, Malacañang and the Foreign Office moved swiftly to try to move the Cambodian Chief of State, who wields absolute power in that Republic, towards the alliance of free Asian nations known as the SEATO. Vice President concurrently Secretary of Foreign Affairs Carlos P. Garcia said that the Cambodian government had not closed its doors to any future decision to join the Southeast Asia Treaty Organization against Communist aggression. Vice President said that Prince Norodom Sihanouk had informed him that his government's policy of neutralism does not exclude the possibility of joining up with a regional alliance for defensive purposes in the future.

President Magsaysay recommended to Congress on February 7th a P1,347,600.00 national budget for fiscal year 1956-57 with the assurance that the proposed heavy spending would not dislocate the economy. The new fiscal plan provides for the biggest government spending in the Philippines' history. In his budget message to Congress, Mr. Magsaysay said the injection of more money into the income stream might cause some price increases but he added, these could be absorbed by the economy and might instead act as stimulant to economic progress. After outlining the economic problems confronting the country, the President said the budget was prepared with an eye to the economic objectives of high employment, steady prices and maximum productivity.

A reinforced Philippine battalion will leave for Thailand today aboard a United States Navy seaplane tender to participate in the first multi-nation maneuvers to be held by the Southeast Asia Treaty Organization. The war games will last four days from February 15 to 18 and will put to a test the effectiveness, the mobility and teamwork of land, sea and air forces which would defend the area against Communist aggression. The maneuvers will be held near Bangkok, Thailand. The Thai government will be host



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during the exercises with the cooperation of the United States government. It was understood that the Thai government has invited other SEATO nations to participate in the demonstration or send observers. Lieutenant General Jesus Vargas, Chief of Staff of the Armed Forces of the Philippines, said that an infantry battalion with special attached units, such as medical, military police and signal outfits will participate in the landing maneuvers. The battalion will be composed of 650 officers and men of the Third Infantry Division and will be under the command of Lt Colonel Uldarico Bacalagon, commandant of the Ground Combat School.

West Germany's first Minister to the Philippines, Dr. Friedrich Leopold Freiherr von Furstenberg, presented his credentials to President Magsaysay on February 9 at Malacañang. A lawyer and economist, von Furstenberg has been connected with investment trusts, economic advisory firms and banks of the United States. He was deputy head of the Department of Prices of the Central Economic Office of Minden from 1946 to 1949, then he became a member of the German Ministry of Labor and later of the German Foreign Ministry.

Dr. Hernandez, Representative of the Philippine Chapter of the Asian Peoples' Anti-Communist League, informed us that the Philippine Chapter has finally decided that the 2nd General Conference of the Asian Peoples' Anti-Communist League will be held in Manila from March 9 to 12. At the same time, Dr. Hernandez inquired about the status of Mr. Nides who represented Thailand in the First General Conference at Chinhae in 1954, and whether he should invite Turkey and Pakistan to the Manila Conference. Since our Legation was not in a position to decide on the above matter, I immediately forwarded a copy of Dr. Hernandez's letter to the Korean Chapter of the Anti-Communist League in Seoul, and requested them to send their reply directly to Dr. Hernandez without delay.

Faithfully yours,

Do Soon Chung
DO SOON CHUNG

His Excellency Syngman Rhee,
President of the Republic of Korea,
Seoul.

Copy to the Acting Minister of Foreign Affairs